My recent rereading of the chapters on fixed-income securities in the 1940 edition of *Security Analysis* served to remind me of some of the rules I had found too rigid. But it also showed me the vast wealth of less quantitative and more flexible common sense the book contained, as well as some of the forward-looking insights.

To my mind, some of the most interesting aspects of the book—and of developments in the investment world over the last several decades—are seen in Graham and Dodd's perspective on the evolution of investment standards.

- At least through 1940, there were well-accepted and very specific criteria for what was proper and what was not, especially in fixed income. Laws, rules, and traditions governed the actions of fiduciaries and the things they could and could not do. In this environment, a fiduciary who lost money for beneficiaries in a nonqualifying investment could be "surcharged"—forced to make good the losses—without reference to how well they did their job overall or whether the whole portfolio made money. Understandably, these conditions caused a strong emphasis on excluding risky assets from fiduciary portfolios.
- Subsequently, the law accepted the concept of the "prudent man," based on a nineteenth-century court case. The test now was whether this was something a prudent person would do, judged in the light of the circumstances under which the decision was made and in the context of the portfolio as a whole. Thus individual losing investments need not give rise to penalties if the fiduciary's decisions and results were acceptable *in toto*. The prudent man rule was highly evolved in comparison to the outright ban on risk-taking that had preceded it.
- Harry Markowitz was a leading contributor to the finance theory we attribute to "Chicago School." In the 1950s, based on the risk